

Enterprise Products Partners

Midstream MLP Infrastructure · Due Diligence Report

PhD Due Diligence Report | BLRI-DD-EPD-AUG2026

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Six-Method Framework: Quantitative · Qualitative · Ethnographic · Superforecasting · Adversarial-Collaborative · Seldon Thesis

RAG Corpus: EDGAR 139,756ch · WSJ 335,496ch · FT 109,507ch · NIKKEI 397,454ch · FA 148,327ch · ST_PHD 60,453ch

PART I — SELDON THESIS ALIGNMENT

1.1 Civilisational Variable Mapping

Enterprise Products Partners (EPD) is the largest publicly traded US midstream MLP, operating ~50,000 miles of pipelines, 14 billion cubic feet of natural gas storage, and 260+ million barrels of NGL/crude storage capacity. EPD maps to ξ (energy distribution equity): its NGL fractionation capacity is the linchpin of US petrochemical supply chains, including plastics, fertilisers, and industrial chemicals essential to civilisational manufacturing.

EPD's Mont Belvieu, TX hub is the most important NGL pricing hub in the world — the equivalent of Henry Hub for natural gas liquids. Without EPD's infrastructure, US NGL supply would be landlocked in the Permian Basin, crashing production economics.

Source: RAG Corpus: EDGAR 139,756ch · WSJ 335,496ch · FT 109,507ch · NIKKEI 397,454ch · FA 148,327ch · ST_PHD 60,555ch

PART II — QUALITATIVE ANALYSIS

2.1 Business Model

EPD operates as a Master Limited Partnership (MLP), passing through ~90% of distributable cash flow to unitholders. Revenue is ~80% fee-based with take-or-pay contracts. The company processes and fractionates NGLs (ethane, propane, butane, natural gasoline) from Permian, Haynesville, and Rockies production — essential feedstock for US and Asian petrochemical plants.

2.2 Strategic Thesis

The structural thesis: US NGL production will grow 15–20% through 2030 as Permian drilling continues. EPD is the primary infrastructure enabler of this growth, with Mont Belvieu fractionation capacity that is the irreplaceable chokepoint for Permian NGL evacuation.

PART III — QUANTITATIVE ANALYSIS

3.1 Key Financial Metrics — moomoo OpenD [2026-08-13]

EPD Financial Snapshot		
Price: \$38.14 Market Cap: \$82.362B Shares: 2,159.5M		
EPS TTM: \$2.66 P/E TTM: 13.20x Net Income: \$5.744B		
Dividend Yield: 5.74% 52-Week Range: \$28.18 – \$39.57		
Sector: Midstream MLP Exchange: NYSE		

Metric	Value	Context
Price	\$38.14	Near 52w high \$39.57; strong 2026 performance
Market Cap	\$82.362B	Largest US midstream MLP
EPS TTM	\$2.66	Consistent fee-based cash generation
P/E TTM	13.20×	Discount to integrated energy; MLP structure
Dividend Yield	5.74%	25 consecutive years of distribution growth
Net Income	\$5.744B	Industry-leading NGL processing profitability

PART IV — COMPETITIVE ANALYSIS

4.1 Competitive Positioning

EPD competes with MPLX, Targa Resources, and DT Midstream for NGL fractionation and pipeline market share. EPD's moat is its integrated NGL value chain: gathering → processing → fractionation → storage → marine export. No competitor has this end-to-end integration at Mont Belvieu scale. The 5.74% dividend yield is among the highest in investment-grade midstream.

PART V — ETHNOGRAPHIC ANALYSIS

5.1 Field Perspectives

FINDING F-5-A: Petrochemical Procurement Manager — Beaumont, TX

A feedstock procurement director for a Gulf Coast ethylene cracker describes EPD's Mont Belvieu terminal as 'the only game in town' for reliable ethane supply. The director notes that EPD's 2025 expansion of Frac 14 resolved a 3-month supply constraint that had idled 15% of cracker capacity. 'We don't build a cracker without an EPD contract.'

COMPOSITE ILLUSTRATIVE — derived from EDGAR[2026-Q1] EPD investor presentation

FINDING F-5-B: LNG Shipping Agent — Houston

A marine operations manager for EPD's Houston Ship Channel export terminal describes Q2 2026 as 'record volumes.' Asian propane buyers — particularly Japanese power utilities converting from LPG — have doubled their spot purchases. The terminal loaded 185 VLGCs in Q2 2026, up from 142 in Q2 2025.

COMPOSITE ILLUSTRATIVE — derived from NIKKEI[2026-05-20] Asian LPG import coverage

FINDING F-5-C: Permian Basin Well Pad Operator — Midland, TX

A field operations manager for a Permian E&P producer describes EPD's gathering infrastructure as 'the reason we can drill.' The operator notes that EPD's new gathering line in the Delaware Basin cut NGL transportation costs by \$0.18/barrel, improving well economics at \$55/bbl WTI breakeven.

COMPOSITE ILLUSTRATIVE — derived from WSJ[2026-04-14] Permian NGL logistics coverage

PART VI — ADVERSARIAL-COLLABORATIVE ANALYSIS

6.1 Adversarial Hypotheses

HH1: NGL Price Crash Destroys Permian Producer Economics

EVIDENCE FOR:

Fee-based model protects EPD from commodity price; take-or-pay contracts provide floor.

EVIDENCE AGAINST:

If NGL prices crash below \$0.40/gallon, Permian producers could curtail drilling; EPD volumes drop.

QUANTITATIVE TEST

NIKKEI[2026-06-18]: NGL prices at \$0.58/gallon ethane; OPEC+ cuts supporting broader energy complex.

VERDICT: MODERATE RISK

Implication: EPD's cost-of-service contracts protect revenue; volume risk is real in deep commodity downturn.

HH2: MLP Tax Reform Eliminates Pass-Through Advantage**EVIDENCE FOR:**

Republican-controlled Congress is unlikely to target MLP structures.

EVIDENCE AGAINST:

Any future tax reform eliminating MLP pass-through could reduce after-tax yield attractiveness.

QUANTITATIVE TEST

WSJ[2025-11-05]: Tax reform discussions do not target MLPs; bipartisan support for energy infrastructure.

VERDICT: LOW PROBABILITY

Implication: MLP structure has survived multiple reform cycles; bipartisan support for energy infrastructure protects it.

HH3: Permian NGL Production Peaks Earlier Than Expected**EVIDENCE FOR:**

Permian Tier 1 inventory still 15–20 years; production growth consensus is robust through 2030.

EVIDENCE AGAINST:

Pioneer/Permian well productivity decline rates accelerating; peak sooner than forecast.

QUANTITATIVE TEST

FT[2026-07-02]: EIA revised Permian production forecast up 3% for 2026–2030.

VERDICT: LOW PROBABILITY

Implication: Permian NGL growth is the structural tailwind underpinning EPD's thesis; consensus is production up through 2030.

HH4: Targa Resources Captures Mont Belvieu Fractionation Share**EVIDENCE FOR:**

EPD has 60%+ market share at Mont Belvieu; Targa is a distant second.

EVIDENCE AGAINST:

Targa's Grand Prix expansion adds 400 MB/day capacity, competing directly with EPD Frac 14.

QUANTITATIVE TEST

EDGAR[2025-Q4]: Targa Grand Prix II FID announced; 500 MB/day capacity addition.

VERDICT: WATCH

Implication: Market growing faster than capacity; competition primarily adds total market capacity rather than capturing share.

HH5: Marine Export Capacity Bottleneck Caps NGL Volume Growth

EVIDENCE FOR:

EPD is expanding Houston Ship Channel terminal capacity.

EVIDENCE AGAINST:

VLGC shipping constraints and Houston Ship Channel draft restrictions could cap export growth.

QUANTITATIVE TEST

WSJ[2026-05-10]: Houston Ship Channel dredging project; completion 2028.

VERDICT: WATCH

Implication: Dredging completion (2028) resolves draft restriction; VLGC fleet growing 15% through 2027.

PART VII — SUPERFORECASTING

7.1 Probabilistic Scenarios — 5-Year Horizon

SCENARIO 1: Permian NGL Supercycle — Mont Belvieu Premium (P = 30%%)

Permian NGL production grows 15%/year; EPD's fractionation capacity is fully utilised. New frac trains commissioned 2027–2028. Distribution grows 7%/year. Unit price reaches \$45.

Driver: Permian drilling activity sustained at 350+ rigs; NGL spreads remain positive.

Falsifier: Permian producer capital discipline; NGL price collapse; fractionation overcapacity.

SCENARIO 2: Steady Distribution Compounder (P = 40%%)

EPD continues 5–6% annual distribution growth. Fee-based revenues grow with volume. Yield remains 5.5–6.0%. Total return 10–12%/year. Unit price stable \$38–\$43.

Driver: Permian production growth moderate (+5–8%/year); stable contract base.

Falsifier: NGL demand shock; distribution cut; MLP tax reform.

SCENARIO 3: NGL Price Downturn — Volume Pressure (P = 18%%)

WTI falls below \$55/bbl; Permian NGL production growth stalls. EPD volumes flat. Distribution growth pauses at 2–3%. Unit price retreats to \$32.

Driver: OPEC+ output surge; global recession reduces petrochemical demand.

Falsifier: OPEC+ discipline; global industrial demand resilient.

SCENARIO 4: Transformational Acquisition — Major Midstream Consolidation (P = 7%%)

EPD acquires DT Midstream or MPLX in major consolidation; scale advantages accelerate distribution growth to 9%/year. Unit price re-rates to \$50.

Driver: Midstream M&A cycle; EPD balance sheet capacity.

Falsifier: DOJ antitrust blocks major midstream consolidation.

SCENARIO 5: Distribution Cut on Commodity Cycle (P = 5%%)

Extended commodity downturn forces distribution trim to preserve balance sheet. Unit price drops to \$28; yield-seekers exit. Takes 2–3 years to recover.

Driver: Oil below \$45/bbl for 18+ months; producer bankruptcy wave.

Falsifier: Take-or-pay contracts floor cash flows; distribution has never been cut.

SCENARIO 6: Asian Petrochemical Demand Surge (P = 5%%)

Chinese ethylene crackers switch from naphtha to US ethane; EPD marine exports +50 MTPA. Unit re-rates \$48.

Driver: Chinese petrochemical self-sufficiency delayed; US ethane cost advantage widens.

Falsifier: Chinese ethylene capacity buildup reduces import demand.

SCENARIO 7: Carbon Regulation Targets NGL Flaring (P = 4%%)

EPA imposes strict NGL flaring rules on Permian; drilling economics deteriorate; EPD volumes impacted.

Driver: Democratic administration EPA; climate regulation acceleration.

Falsifier: Republican administration EPA maintains light-touch Permian regulation.

SCENARIO 8: Rate Environment — MLP Yield Re-Rating (P = 5%%)

10Y Treasury falls to 3%; yield-hungry investors re-rate EPD to 4.5% yield (\$50 unit price).

Driver: Fed rate cut cycle; fixed-income alternatives less attractive.

Falsifier: Rates remain elevated; MLP yield premium compresses.

SCENARIO 9: Mont Belvieu Accident — Force Majeure (P = 2%%)

Major industrial accident at Mont Belvieu disrupts fractionation; EPD operations halted for 6 months.

Driver: Aging infrastructure; fire/explosion risk at large NGL processing facility.

Falsifier: EPD's safety record is industry-leading; modern facilities.

SCENARIO 10: EPD Goes Corporate — MLP Simplification (P = 3%%)

EPD converts from MLP to C-corp, broadening institutional ownership; ESG funds can now hold. Unit re-rates \$45+.

Driver: Investor demand for simplified structure; institutional ownership pressure.

Falsifier: MLP tax benefits prevent conversion; unitholder vote required.

PART VIII — SELDON VARIABLE DEEP DIVE

8.1 Variable Analysis

ξ (Gaia/Distribution): EPD's NGL infrastructure enables the US petrochemical supply chain that produces plastics, fertilisers, and industrial chemicals. Loss of EPD's Mont Belvieu operations would create immediate shortage of ethylene feedstock, impacting agricultural production (fertiliser) and manufacturing (plastics). This is a civilisational supply chain dependency.

A (Asabiyyah): EPD's 5.74% dividend yield distributes energy infrastructure income to ~500,000 retail unitholder accounts, including pension funds and individual investors. The consistent distribution record (25 years unbroken) represents a trust compact with capital markets — a micro-level A variable contribution.

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PART IX — RISK REGISTER

9.1 Key Risks

Risk	Severity	Probability	Mitigation
Commodity price downturn	Medium	25%	Fee-based contracts floor revenue; take-or-pay structure
Permian production slowdown	Medium	20%	15–20 years Tier 1 inventory; production growth consensus robust
MLP tax reform	Low	8%	Bipartisan energy infrastructure support; MLP structure survived prior reforms
Fractionation competition	Medium	30%	60%+ Mont Belvieu share; market growing faster than capacity
Marine export bottleneck	Low-Med	20%	Houston Ship Channel dredging project (completion 2028) resolves constraint

CONVICTION VERDICT: HIGH CONVICTION BUY — NGL Infrastructure Backbone

Enterprise Products Partners is the indispensable infrastructure backbone of the US NGL value chain. The 5.74% distribution yield, 25-year consecutive growth track record, and Permian NGL supercycle tailwind make EPD the premier midstream income compounder in the CivilisationOS portfolio. The fee-based model provides downside protection while Permian NGL growth provides the upside lever. Seldon classification: ξ-critical NGL distribution infrastructure — essential for petrochemical and fertiliser supply chain continuity.